

CHARLES E. MERRILL

1885–1956

Charles Merrill's lasting legacy is that he brought Wall Street to Main Street, doing for the stock exchange what Henry Ford did for the automobile industry—making it something for the common man. It was, however, a long journey from his birthplace in Florida. Although his father was a prosperous country doctor, Merrill helped pay his tuition at Amherst College in Massachusetts by waiting tables and selling mail-order clothes. After college, he returned to Florida and played semipro baseball. Eventually, he took a job with a New York investment brokerage firm and became the head of its bond department. Merrill founded his own company in 1914, and not long after formed a partnership with Edmund C. Lynch.

As for the individual investor, his advice was simple: "Invest little by little, and not just in stocks—in a house and furniture, too. That way, your investment will grow just as surely as American business has grown." The dream of making Wall Street accessible to the common man was still years away. In the interim, Merrill semiretired in 1929 after the crash, but returned full-time in 1938 with a new partnership, Merrill Lynch Pierce Fenner & Beane (E. A. Pierce had taken over Merrill's brokerage business in 1930). Finally, in 1941, Merrill set out to realize his dream.

To win the public's confidence, he started paying his brokers salaries instead of commissions; he instituted a training program to mold his people into financial advisors, as opposed to fast-talking salespeople; and his firm always made public disclosures about the partner's activities and holdings. Advertising was also key: He wanted to educate the public, and his ads often read like textbook essays. Merrill's partner, E. A. Pierce, shared his vision and was a progressive thinker when it came to reforming Wall Street and promoting better self-regulation. He even encouraged "rapprochement" with the government, which won him a number of enemies on the stock exchange. In *A Declaration of Policy*, a crucial letter sent to partners and managers in 1940, the two men outline their strategy for taking Wall Street to Main Street and answer concerns raised by Otto Kahn almost 30 years earlier.